ST MARTINS HOUSING CO-OPERATIVE SOCIETY LIMITED

Versus

CITY OF HARARE

HIGH COURT OF ZIMBABWE

CHIRAWU-MUGOMBA J

Harare, 4, 13, 16 and 18 February 2026

L. ZIRO, for the applicant

C. M. MUSHAYI, for the respondent

COURT APPLICATION FOR REVIEW

CHIRAWU-MUGOMBA J: Before me is an application for review filed in terms of s27 of the High Court Act [Chapter *7:06*] as read with r 62. The grounds for review that appear *ex facie* the notice are as follows.

1. The respondent's decision not to award the applicant and its members the stands in question on the sole ground of financial incapacity to be able to service and develop same was so grossly irregular or so outrageous in its defiance of logic or accepted moral standards that no sensible person who would have applied his or her mind to the question surrounding applicant, its member's and investor's financial capacity would have arrived at the same decision as the respondent, considering that in terms of procedure, the decision was not only delivered in clear contravention of a Court order HCH 1142/24 but was delivered unreasonably late without justification.

2. The respondent's decision not to award the applicant and its members the stands in question on the sole ground of financial incapacity to be able to service and develop same was so grossly irregular or so outrageous in its defiance of logic or accepted moral standards that no sensible person who would have applied his or her mind to the question surrounding applicant, its member's and investor's financial capacity would have arrived at the same decision as the Respondent because respondent's decision was premised on

dishonest facts, whose truth or correct factual position was clearly known to the respondent and authors of the decision.

3) The respondent's proceedings and decision not to award the applicant and its members the stands in question on the sole ground of financial incapacity to be able to service and develop same was so grossly irregular or so outrageous in its defiance of logic or accepted moral standards that no sensible person who would have applied his or her mind to the question surrounding applicant, its member's and investor's financial capacity would have arrived at the same decision as the respondent since it is clear applicant's investors have handled bigger projects in partnership with the respondent and other councils thus they can handle the applicant's smaller project regards servicing and developing the sixty-two stands for its members.

4) The respondent's proceedings and decision not to award the applicant and its members the stands in question on the sole ground of financial incapacity to be able to service and develop same was so grossly irregular or so outrageous in its defiance of logic or accepted moral standards that no sensible person who would have applied his or her mind to the question surrounding applicant, its member's and investor's financial capacity would have arrived at the same decision as the applicant's financial standing had already been done by the respondent's parental Ministry that is the Ministry of Local Government showing applicant had financial capacity to manage bigger projects of greater value than the Applicant's project.

5) The respondent's proceedings and decision not to award the applicant and its members the stands in question on the sole ground of financial incapacity to be able to service and develop same was so grossly irregular or so outrageous in its defiance of logic or accepted moral standards that no sensible person who would have applied his or her mind to the question surrounding applicant, its member's and investor's financial capacity would have arrived at the same decision because the documents and contracts between the applicant and its investors clearly showed the parties' intention and capacity to service ,develop and transfer the stands to the applicant's members names without need or contribution from Respondent financially.

To that end, the applicant seeks the following relief:-

1. The application for a review against respondent's decision made and delivered on the 23rd of July 2025 is hereby granted.

2. The respondent's decision made and delivered on the 23rd of July 2025 is hereby set aside.

3. The applicant is hereby declared to have the financial capacity to develop the land that is the sixty –two stands (62) under Deed of grant number 5104, Map reference TR950245 and Plan TP2F/CR/022 located in Harare Township opposite One Commando 235/235 236/270 33 3. 4. 5. 6. Barracks specifically stands 40171 – 40256 which was approved by the Director of Physical Planning on the 13th of February 2015.

4. The respondent thorough its Town Clerk shall within seven (7) days of the granting of this order, grant the Applicant a permit or offer letter to develop the land referred to in paragraph 3 above within the usual timelines and per the requirements for servicing of land allowed at law.

5. The applicant shall take possession of the immovable property immediately upon the granting of the permit or offer letter mentioned in paragraph 3 above.

6. Respondent to pay costs of suit on a higher scale.

In support of these grounds, one Witness Nyasha Tsonziwa as the chairperson of applicant makes the following averments. Under HCH 1142/24, the respondent was ordered to re-conduct interviews of the applicants and its sponsors or investors and assess their financial capacity regarding their ability to service certain stands and whether they should be awarded the same. The piece of land is held under deed of grant 5104. The respondent was also directed to issue a written decision with reasons after conducting the interviews. It is important to state that the operative part of the order under HCH 1142/25 reads as follows:

a. The respondent is directed to re-reconduct interviews of the applicant's members and any of their sponsors within sixty days of this order, considering their financial capacity and relevant circumstances.

b. The respondent shall provide the applicant with a written decision, accompanied by reasons, within 10 days of completing the interviews.

The interviews were not conducted on time and the parties agreed that they be held outside the time frame stipulated in the order. While awaiting the results of the interviews, the respondent sent its employees with excavator tipper trucks to dig up trenches in what appeared to be commencement of servicing the stands. This obviously affected the interests of the applicant's members who were still awaiting the outcome of the interviews. An interdict

was obtained against the respondent stopping it from the exercise. No decision was forthcoming from the respondent and the applicant filed an application for a *declaratur* under HCH 3373/25. The gist of that application is that the applicant sought an order that it be declared to have financial capacity to develop the stands and that they be granted the stands. The respondent then issued the decision that was not favourable to the applicant. This outcome dated the 2nd of April 2025 reads as follows:

Reference is being made to your assessment interviews that were carried out between the 26th to the 28th of March 2025 in compliance with court order number HCH 1124/25.

We regret to advise that you were not successful in your interview due to the reasons outlined below.

1. ***You personally pleaded financial capacitation to meet financial obligations to carry out infrastructural and superstructural development of the residential stands.***
2. ***The developers that you availed failed to prove that they have the capacity to assist you with funding or to source for such funding to assist your cooperative.***
3. ***Further to the above and of particular importance to note is that one of your proposed funders/developers, Pure Gold Housing Trust has been saddled with an obligation to develop 2500 unserviced residential stands depicted on lay out plan number TPY/ER/01/16 since 30 June 2017. This was under a Housing development partnership with the City of Harare and they have failed to do so.***
4. ***In fact Pure Gold Housing has demonstrated their incapacity to extinguish their obligation in the said contract.***
5. ***Further to the above, Pure Gold Housing Trust proceeded to illegally mortgage some of the undeveloped stands prematurely to Dziva Properties (pvt) limited as payment for developing the stands on behalf of Pure Gold Housing Trust. The matter is now before the courts under court number HCH 817/24, where Dziva Properties is suing the City of Harare demanding compensation for expenses incurred in developing the stands.***
6. ***The clearance from the Ministry of Local Government and Public Works that Pure Gold Housing Trust sought to rely on as proof of financial capacity***

cannot be relied upon by the City of Harare since it was not part of the assessment done.

7. ***The submitted founding document establishing the relationship between Pure Housing Trust, Tripple Effort International Investments and St Martins Housing Cooperative does not reflect commitment and capacity to fund for the development of the stands.***

8. ***Furthermore, the draft memorandum of agreement between St Martins Cooperative and Triple Effort does not reflect a purely housing finance agreement. It is a proposal for a joint venture with a view to, 'market, sell and transfer' the houses or stands (see clause 3 vii). This is an illegal agreement with regards to the procedure for acquiring council land.***

9. ***St Martins Housing Cooperative did not avail any proof of savings despite being in existence since 29 January 2013.***

10. ***Consequently, in our assessment of your capacity we conducted that you are not eligible for St Martins medium density residential scheme.***

It is this decision that the applicant attacks with some ferocity. It disputes the averment that Pure Gold Housing is saddled with an obligation to develop 2500 residential stands. It avers that the author of the decision actually renewed a contract between the two parties in a different project where it was noted that the cooperative was not to blame for any set -backs in that partnership. There is no pending matter under HCH 817/25 as same was withdrawn by Dziva Properties. Pure Gold Housing has some financial pedigree as its contract with the respondent is for the development of 2500 stands. It is inconceivable that it would fail to develop a mere 62 stands. It is also involved in projects throughout Zimbabwe. The finding that the financial assessment of the applicant's investor by the Ministry of Local Government and Public Works cannot be relied on is baffling. There is a symbiotic relationship between the Ministry and the respondent. The applicant and its investor have a private relationship and it cannot be concluded that the documents and contracts between the applicant and its investors does not reflect commitment.

Attached to the application is a supporting affidavit by one Benjamin Joseph Murata who avers that he is the managing director of Pure Housing Gold. He

challenges the respondent's assertion that the cooperative failed to perform regarding the 2500 stands in Mabvuku. That the project failed to take off on time due to supervening impossibility. He asserted that the trust has the financial capacity to perform.

The record shows that as part of the assessment, the applicant averred that it had engaged two sponsors, these being Tripple Effect International Investments (pvt) Limited and Pure Gold Housing Trust. The following documents were therefore attached to the letter- High Court judgment HCH 1142/24; approved plan for stands TP2F/CR/022 and letter dated the 18th of March 2015 from the Director of Works of the respondent, certificate of the applicant's registration as a cooperative, letter from the Ministry of Local Government to Pure Gold Housing Trust dated the 11th of September 2024, memorandum of agreement between the cooperative and Tripple Effort (Pvt) Limited as well as the CR14, memorandum of agreement between applicant and Tripple Effort (pvt) Limited and Pure Gold Housing Trust and documents from Pure Gold Housing Trust. These are the documents that the respondent considered in addition to oral interviews.

In opposing the application, the respondent makes the following averments. That due to prolonged due diligence and confirmations with relevant personnel, the decision could not be communicated on time but it has since been availed. That the applicant conducted interviews and the applicant was not successful. The applicant should accept the outcome and heed the advice to continue renewing their members waiting list. The decision was made taking into account the information availed to the respondent by applicant and there is nothing irregular about it. The memorandum of agreement referred to by applicant between the sponsor Pure Gold Housing Trust and the respondent was renewed but the Trust is still failing to fulfil its obligations.

Nothing much turns on the answering affidavit. In its heads of argument, the applicant's legal practitioners needlessly repeat the facts as they appear in the founding affidavit. The applicant submits that the basis of the application is in terms of s27(1) (c) of the High Court Act, that makes reference to gross irregularity in the proceedings or the decision. Further that as per s28 of the same act, on review a court *inter alia* can set aside or correct the proceedings or decision- *Dombodzvuku*

and anor vs. Sithole N.O and anor, 2004(2) ZLR 242 (H). The role of the court was amplified in *Affretair (pvt) Limited vs. M K Airlines (pvt) Limited,* 1996 (2) ZLR 15 @ 21-22. Section 68 of the Constitution addresses the right of every person to administrative conduct that is lawful, prompt, efficient, reasonable, proportionate, impartial and both substantively and procedurally fair. At the hearing, the submissions by Mr. *Ziro* largely mirrored what was already in the heads of argument and the facts of the matter.

In the heads of argument, the respondent placed reliance also on the *Dombodzvuku* decision and submitted that there was nothing irregular about the decision and it was one that was reasonable given the circumstances. They also relied on the *Affretair* case as well as *Katiyo cs Standard Chartered Bank Pension Fund,* 1994 (1) ZLR 225 (H), *Hama v National Railways of Zimbabwe,* 1996 (1) ZLR 664 (S). The fact that the applicant does not agree with the decision of the respondent is not a ground for review. In *Zambezi Proteins (pvt) Limited and ors vs. Minister of Environment and Tourism and anor,* 1996(1) ZLR 378, GARWE J (as he then was) made reference to the *Guide to Zimbabwean Administrative Law* by Professor Feltoe on the function of the court in review matters. That this function is not to delve into the substantive correctness of administrative decisions but only to ascertain whether they have been any procedural irregularities or ultra *vires* actions. This is supported by s27(1)(c) which speaks to gross irregularity as opposed to the merits of the decision reached. As per the *Affretair* decision, courts do not lightly interfere with administrative decisions. See also *Director of Civil Aviation vs. Hall,* 1990 (2) ZLR 354 (SC). The respondent was ordered to re-conduct the interviews and the applicant is a serial litigant that has refused to accept the results. The relief sought by the applicant is also not proper. The respondent is the only local town planning authority and it is the only one that can delegate power as it usual does from time to time. The procedure to allocating land is provided for in section 152 of the Urban Councils Act [Chapter *29:15*].

The applicant's grounds for review are convoluted and verbose. In my view there are only two grounds. These are (1) the fact that the respondent delivered the decision unreasonably late in defiance of HCH 1142/24 and that the finding of financial incapacity is not supportable due to the fact that the applicant's investor had

handled other bigger projects in partnership with the respondent and the Ministry of Local Government and Public works had already assessed the applicant's capacity and concluded that it could handle big projects and given them a seal of approval for those projects. Therefore it defied logic that the respondent would make a finding that the applicant had no financial capacity. These grounds then constitute the issues that the court must concern itself with as follows:-

a. Did the respondent deliver the decision unreasonably late such as to amount to a gross irregularity?

b. Was the finding that the applicant had no financial capacity grossly irregular and a defiance of logic in view of the evidence submitted to the respondent?

As correctly stated by the applicant, the starting point is s27 of the High Court Act that reads as follows:-

> **"27 Grounds for review**
>
> (1) Subject to this Act and any other law, the grounds on which any proceedings or decision may be brought on review before the High Court shall be –
>
> (a) absence of jurisdiction on the part of the court, tribunal or authority concerned;
>
> (b) interest in the cause, bias, malice or corruption on the part of the person presiding over the court or tribunal concerned or on the part of the authority concerned, as the case may be;
>
> **(c) gross irregularity in the proceedings or the decision.**
>
> (2) Nothing in subsection (1) shall affect any other law relating to the review of proceedings or decisions of inferior courts, tribunals or authorities."

As held in the *Dombodzvuku* and cited partly in the applicant's heads of argument,

> "A decision is said to be grossly unreasonable if it is completely wrong and is not merely a different way of looking at the issue. (See *Tenesi v Public Service Commission* 1996 (1) ZLR 196 (H)).
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> As observed in *Oskil Properties v Chairman, Rent Control Board* 1985 (2) SA 234 (SEC), the onus resting upon a litigant seeking to set aside the exercise of a discretion on grounds of unreasonableness is considerable. In my view, the task is Herculean if it is an interpretation of the law by a judicial officer that is sought to be impugned as being unreasonable. An incorrect rendition of the law cannot be grossly unreasonable merely because it does not find favour with its attacker. The person attacking it must go further and show that on the facts before the court, the decision reached defies all logic and is completely wrong. A different opinion of the law, clearly showing how it was arrived at cannot be said to

> defy logic. It may be wrong but may not necessarily be unreasonable. As GARWE J as he then was observed in *Zambezi Proteins (Private) Limited and Others v Minister of Environment & Tourism and Another* 1996 (1) ZLR 378 (H), not every mistaken exercise of judgment is unreasonable and not every reasonable exercise of judgment is right".

In my view, the applicant's contention that the delay in rendering the decision constitutes an irregularity is misplaced. This ground is unnecessarily mixed with that of financial capacity. What is really the contention of the applicant one may ask? Is it that the late delivery of reasons has an impact on the finding on financial capacity? Is it that the late delivery prejudiced the applicant? If so, why then is applicant seeking a review based on this ground? In aid of what? It is simply not a ground for review. The applicant could have pursed other remedies to ensure that the decision was delivered on time. I also note that the applicant at one point accepted late delivery of the decision.

In now turn to the financial capacity issue. In *Zambezi Proteins* case, GARWE J, (as he then was), quoted from Professor Feltoe's book, *Guide to Zimbabwean Administrative Law* (p 31) as follows:-

> "As the function of the Court is not to delve into the substantive correctness of administrative decision, but only to ascertain whether there have been any procedural irregularities or action of an *ultra vires* nature, it would seem to follow that on review the Court has no power to overturn a decision simply because it considers it to be unreasonable. If it was to do so, it would in effect be substituting its own decision in place of the decision of the body empowered to make this decision."

The learned author remarks further:

> "In certain circumstances, however, the courts will set aside decision of a grossly unreasonable nature. A well-recognised ground for doing this is where the decision is not only grossly unreasonable but is so grossly unreasonable that it is only explicable on the basis of *male fides*, ulterior motive or failure of the decision-maker to apply its mind to the decision it had to make."

In its application, the applicant is inviting the court to scrutinise not the manner in which the decision is made but the decision reached. Except for the late delivery of the decision, there is no complaint that there were procedural irregularities since the process was regulated by a court order. It required the respondent to re-conduct interviews. This was done through interviews of members and scrutiny of the documents submitted to it. The applicant is averring that the respondent ought to have made a decision that it had the financial capacity. This court must then scrutinise the documents submitted and consider whether the applicant's contentions are correct. Section 28 of the Act provides as follows.

28. Powers on review of civil proceedings and decisions

On a review of any proceedings or decision other than criminal proceedings, the High Court may, subject to any other law, set aside or correct the proceedings or decision.

In my view, the finding by the respondent that the applicant has no financial capacity to develop the 62 stands is grossly unreasonable when regard is had to the totality of the evidence placed before it and the conclusion reached that even includes factors that are not correct. It is one based on ulterior motives and *mala fides.* The respondent clearly did not properly apply its mind to the documents submitted by the applicant. The decision itself seems to have been reached more on the relationship between the respondent and Pure Gold Housing in other contracts and also Dziva Properties. This is clearly grossly unreasonable. The respondent clearly went outside the terms of reference in HCH 1142/24.

The immediate question then becomes one on what order should the court grant? In *University of Zimbabwe vs Mugumbate and ors,* SC-63-17, the court cited with approval the following on the powers of the court on review.

> " In, *Affretair (Pvt) Ltd & Anor v M K Airlines*1996 (2) ZLR 15 (S) wherein MCNALLY JA quoted the following excerpt from BAXTER *Administrative Law,* at p 681:
>
> *"*The function of judicial review is to scrutinize the legality of administrative action, not to secure a decision by a judge in place of an administrator. As a general principle, the courts will not attempt to substitute their own decision for that of the public authority; if an administrative decision is found to be *ultra vires*, the court will usually set it aside and refer the matter back to the authority for a fresh decision. To do otherwise "would constitute an unwarranted usurpation of the powers entrusted [to the public authority] by the Legislature". Thus it is said that: "[t]he ordinary course is to refer back because the Court is slow to assume a discretion which has by statute been entrusted to another tribunal or functionary." In **exceptional circumstances this principle will be departed from**. The overriding principle is that of fairness."
>
> The learned author also stated that a court will normally interfere in the sphere of practical administration only if:
>
> a) the end result is a foregone conclusion and it would be a waste of time to refer the matter back.
> b) where further delay could prejudice the applicant
> c) where the extent of bias or incompetence is such that it would be unfair to the applicant to force it to submit to the same jurisdiction
> d) where the court is in as good a position as the administrative body to make the decision".

It is my considered view that there are no exceptional circumstances that warrant departing from referral of the matter back to the respondent.

I note that the terms of reference for the respondent spoke solely to the reconducting of interviews on the financial capacity of the applicant and other relevant circumstances. I also note that apart from seeking a *declaratur* that it has the financial capacity, the applicant seeks other relief that goes beyond the scope of the order in HCH 1142/24.

In *Marange vs. Marange and ors,* HH-557-17 it was held per MANGOTA J as follows.

> "It is pertinent to stress that administrative acts are subject to review. The court has the power, authority and jurisdiction to ascertain whether or not the acts are compliant with the law. Where they are, they remain undisturbed. Where they are not, the court has the power and authority to revisit them by either setting aside the result of the acts or by correcting them so that they remain *in sync* with the law".

In *casu,* the court can only set aside the decision of the respondent and order that the respondent complies with HCH 1142/24. In my view, it is not for this court to substitute itself in the stead of the respondent as it is not in a position to re-conduct the interviews and go through the documentary evidence. That is not desirable. The court cannot also grant the *declaratur* as sought by the applicant as again that is tantamount to it placing itself in the shoes of the respondent and extending the ambit of HCH 1142/24.

On costs, these are the discretion of the court. I find no justification for costs on a higher scale.

DISPOSITION

1. The respondent's decision of the 23rd of July 2025 be and is hereby set aside.
2. The respondent is ordered to comply with the order in HCH 1142/24 in light of the findings in this matter within thirty days (30) days from the date of service of this order.
3. The respondent shall pay costs on the ordinary scale.

Takaindisa Law Chambers, applicant's legal practitioners

Richard Legal Services, respondent's legal practitioners